

RECLTD — REC Ltd

Sector: Financials | Sub-sector: Speciality Finance

REC is a Central Public Sector Undertaking under the Ministry of Power involved in financing projects in the complete power sector value chain from generation to distribution. [1]

ROE	ROCE	NPM	D/E	FCF (Cr)	Rev CAGR 5Y
20.4%	9.3%	29.8%	6.42	-59,554	13.3%

10-Year Financial Trend

Year	Revenue	Profit	ROE	ROCE	FCF
2015-03	20,544	5,344	21.3	11.0	-23,747
2016-03	24,125	5,691	19.7	11.3	-14,034
2017-03	24,338	6,313	18.7	11.1	6,704
2018-03	22,658	4,451	13.7	8.1	-32,464
2019-03	25,408	5,741	16.6	8.5	-35,409
2020-03	29,942	4,972	14.0	8.1	-32,591
2021-03	35,557	8,378	19.1	8.6	-42,651
2022-03	39,276	10,036	19.6	9.0	-1,106
2023-03	39,486	11,167	19.2	8.6	-38,303
2024-03	47,517	14,145	20.4	9.3	-59,554

Financial health score: N/A | Band: nan

Balance Sheet & Cash Flow Intelligence

Recent Balance Sheet

Year	Equity	Debt	Assets	Liabilities
2021-03	43,764	329,723	400,867	400,867
2022-03	51,314	333,043	410,860	410,860
2023-03	58,120	380,790	465,503	465,503
2024-03	69,350	445,568	548,191	548,191
2024-09	73,510	483,617	595,227	595,227

Recent Cash Flow

Year	CFO	CFI	CFF	Net Cash
2020-03	-32,712	121	33,926	1,336
2021-03	-43,512	861	42,113	-538
2022-03	-819	-287	68	-1,038
2023-03	-37,360	-943	38,123	-180
2024-03	-57,723	-1,831	59,588	34

Capital allocation: **Distress Signal**

CFO quality score: 0 | CapEx intensity: 3.9% | FCF conversion: -124.4%

Pros

ROE above 20% in the latest available year.

Cons

Debt-to-equity exceeds 2x; leverage warrants attention.; Free cash flow is negative in the latest available year.; Free cash flow is not positive across the latest three-year window.

